UNIT 5

ADMISSION OF A PARTNER

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Points to recall

The following points are to be recalled before learning admission of a partner:

- Meaning and features of partnership firm
- Partnership deed
- Partners' capital accounts
- Valuation of goodwill

Learning objectives

To enable the students to

- Understand the accounting treatment at the time of admission of a partner
- Prepare revaluation account, capital accounts and balance sheet of the firm after admission of a partner.

Key terms to know

- Admission of a partner
- Sacrificing ratio
- Revaluation account

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